



Bill Number: S.B. 1494

Werner Floor Amendment

**Reference to: HEALTH AND HUMAN
SERVICES S/E Committee amendment**

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Prohibits insurance producers from offering or receiving any commission or kickback in return for referring a patient to or from a sober living home.
2. Removes restrictions on health care providers, health care institutions and drug manufacturers steering, advising or encouraging a health plan enrollee to terminate or change health plans
3. Prohibits insurance producers from knowingly submitting false or fraudulent information to enroll an individual in the Arizona Health Care Cost Containment System or a health benefits plan, establishes civil penalties for violations and exempts health insurance navigators and certified application counselors acting within their scope of practice.
4. Declares it an act of unprofessional conduct for a nurse or allopathic or osteopathic physician, directly or indirectly through staff, to advise a patient to enroll or disenroll from a specific health plan unless the licensee or staff member is a licensed insurance producer, but allows a licensee to discuss with a patient whether the licensee is in network or out of network with a specific insurance provider, plan or policy.

WERNER FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1494
(Reference to HEALTH AND HUMAN SERVICES S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 "Section 1. Section 13-3730, Arizona Revised Statutes, is amended
4 to read:

5 13-3730. Unlawful patient brokering; health care enrollee
6 acts; classification; definitions

7 A. [NOTWITHSTANDING SECTION 36-2065,] it is unlawful for [a]
8 [ANY] person, including a health care provider, behavioral health
9 professional, health care institution[.] [or] sober living home [OR
10 INSURANCE PRODUCER], to offer, pay, solicit or receive any commission,
11 bonus, rebate, kickback or bribe, directly or indirectly, in cash or in
12 kind, or [TO] engage in any split-fee arrangement, in any form whatsoever,
13 in return for either:

14 1. Referring patients or clients [EITHER:

15 (a)] To [or from] a sober living home[.] [or substance use disorder
16 treatment facility]

17 [(b) FROM A SOBER LIVING HOME TO ANY OTHER HEALTH CARE
18 INSTITUTION].

19 2. Accepting or acknowledging the enrollment of a patient or client
20 for substance use disorder services at a sober living home.

21 B. EXCEPT AS OTHERWISE EXPRESSLY ALLOWED BY FEDERAL LAW, IT IS
22 UNLAWFUL FOR A HEALTH CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG
23 MANUFACTURER TO[—

24 —] PAY, DIRECTLY OR INDIRECTLY, THE PREMIUMS OR SUBSCRIPTION FEES
25 FOR AN ENROLLEE UNDER ANY HEALTH BENEFITS PLAN ISSUED BY A HEALTH CARE
26 INSURER IN THIS STATE.

1 ~~[2. STEER, ADVISE, RECOMMEND OR ENCOURAGE AN ENROLLEE TO TERMINATE~~
2 ~~COVERAGE UNDER AN EXISTING HEALTH BENEFITS PLAN OR TO CHANGE A HEALTH~~
3 ~~BENEFITS PLAN DUE TO ANY HEALTH STATUS-RELATED FACTOR OF THE ENROLLEE~~
4 ~~UNLESS THE PERSON STEERING, ADVISING, RECOMMENDING OR ENCOURAGING THE~~
5 ~~ENROLLEE IS A LICENSED INSURANCE PRODUCER IN THIS STATE.]~~

6 [C. IT IS UNLAWFUL FOR A PERSON WHO IS LICENSED OR WHO IS REQUIRED
7 TO BE LICENSED AS AN INSURANCE PRODUCER PURSUANT TO TITLE 20 TO KNOWINGLY
8 PROVIDE FALSE OR FRAUDULENT INFORMATION, DIRECTLY OR INDIRECTLY THROUGH
9 EMPLOYEES OR REPRESENTATIVES, ABOUT A PERSON'S ELIGIBILITY FOR OR
10 ENROLLMENT STATUS IN THE ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM IN
11 CONNECTION WITH AN APPLICATION FOR, ENROLLMENT IN OR CHANGE IN COVERAGE
12 UNDER ANY HEALTH BENEFITS PLAN ISSUED BY A HEALTH CARE INSURER IN THIS
13 STATE.

14 D. THE FOLLOWING ARE EXEMPT FROM THE LIMITATIONS AND PROHIBITIONS
15 SET FORTH IN THIS SECTION IF REMUNERATION PROHIBITED BY SUBSECTION A OF
16 THIS SECTION IS NOT PAID OR RECEIVED:

17 1. HEALTH INSURANCE NAVIGATORS AND CERTIFIED APPLICATION COUNSELORS
18 WHO ACT WITHIN THE SCOPE OF THEIR LICENSE OR REGISTRATION IN ASSISTING
19 PERSONS WITH ENROLLMENT IN A HEALTH BENEFITS PLAN AND WHO DO NOT KNOWINGLY
20 PROVIDE OR FACILITATE THE PROVISION OF FALSE OR FRAUDULENT INFORMATION ON
21 AN APPLICATION SUBMITTED TO A HEALTH BENEFIT EXCHANGE ESTABLISHED PURSUANT
22 TO 42 UNITED STATES CODE SECTION 18031(b) OR 18041(c).

23 2. CASE MANAGEMENT, COORDINATION OF CARE AND PATIENT CONSULTATION
24 ACTIVITIES THAT ARE PERFORMED IN THE ORDINARY COURSE OF BUSINESS.

25 E. IN ADDITION TO ANY OTHER PENALTY PRESCRIBED BY THIS TITLE, THE
26 COURT SHALL ORDER A PERSON WHO IS CONVICTED OF A VIOLATION OF THIS SECTION
27 TO PAY A CIVIL PENALTY OF NOT LESS THAN \$1,000 FOR EACH VIOLATION OF THIS
28 SECTION. THE COURT SHALL DOUBLE THE CIVIL PENALTY IF THE PERSON IS A
29 SERIAL OFFENDER.]

30 ~~[C.]~~ [E.] A violation of SUBSECTION A[.] ~~[OR]~~ B [OR C] OF this
31 section is:

32 1. A class 3 felony if the consideration has a value of \$1,000 or
33 more.

34 2. A class 4 felony if the consideration has a value of more than
35 \$100 but less than \$1,000.

36 3. A class 6 felony if the consideration has a value of \$100 or
37 less.

38 ~~[D.]~~ [G.] For the purposes of this section: ~~;~~

39 ~~[1. "ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM HEALTH PLAN" MEANS~~
40 ~~THE COVERED SERVICES AVAILABLE TO MEMBERS OF THE ARIZONA HEALTH CARE COST~~
41 ~~CONTAINMENT SYSTEM PURSUANT TO TITLE 36, CHAPTER 29, ARTICLE 1.]~~

42 ~~[2.]~~ [1.] "BEHAVIORAL HEALTH PROFESSIONAL" MEANS ANY PERSON WHO IS
43 REGULATED PURSUANT TO TITLE 32, CHAPTER 33.

44 ~~[3.]~~ [2.] "DRUG MANUFACTURER" MEANS ANY PERSON THAT PRODUCES,
45 PREPARES, COMPOUNDS, PROCESSES, PACKAGES, LABELS, PROPAGATES OR REPACKAGES
46 PRESCRIPTION MEDICATION.

1 ~~[4.]~~ [3.] "ENROLLEE" MEANS AN INDIVIDUAL WHO IS A PATIENT OF OR
2 RECEIVING HEALTH CARE SERVICES FROM, AND IS NOT AN EMPLOYEE OR DEPENDENT
3 OF AN EMPLOYEE OF, A HEALTH CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG
4 MANUFACTURER AND WHO IS ENROLLED IN A HEALTH BENEFITS PLAN PROVIDED BY A
5 HEALTH CARE INSURER.

6 ~~[5.]~~ [4.] "HEALTH BENEFITS PLAN" MEANS A DISABILITY INSURANCE
7 POLICY, A HOSPITAL AND MEDICAL SERVICE CORPORATION POLICY OR CERTIFICATE,
8 A HEALTH CARE SERVICES ORGANIZATION CONTRACT, A GROUP DISABILITY POLICY OR
9 A CERTIFICATE OF INSURANCE OF A GROUP DISABILITY POLICY, INCLUDING
10 MEDICARE ADVANTAGE PLANS, MEDICARE SUPPLEMENT INSURANCE PLANS AND MEDICARE
11 PART D PRESCRIPTION DRUG PLANS, AND THE ARIZONA HEALTH CARE COST
12 CONTAINMENT SYSTEM HEALTH PLAN.

13 ~~[6.]~~ [5.] "HEALTH CARE INSTITUTION" HAS THE SAME MEANING
14 PRESCRIBED IN SECTION 36-401.

15 ~~[7.]~~ [6.] "HEALTH CARE INSURER" MEANS A DISABILITY INSURER, GROUP
16 DISABILITY INSURER, BLANKET DISABILITY INSURER, HEALTH CARE SERVICES
17 ORGANIZATION, HOSPITAL SERVICE CORPORATION, MEDICAL SERVICE CORPORATION OR
18 HOSPITAL AND MEDICAL SERVICE CORPORATION OR A CONTRACTOR AS DEFINED IN
19 SECTION 36-2901.

20 ~~[8.]~~ [7.] "HEALTH CARE PROVIDER" MEANS A PERSON WHO IS REGULATED
21 PURSUANT TO TITLE 32, CHAPTER 7, 8, 11, 13, 14, 15, 15.1, 16, 17, 18, 19,
22 19.1, 25, 28, 29, 33, 34, 35, 39 OR 41 OR TITLE 36, CHAPTER 6, ARTICLE 7
23 OR CHAPTER 17.

24 ~~[9. "HEALTH STATUS RELATED FACTOR" INCLUDES ANY OF THE FOLLOWING~~
25 ~~WITH RESPECT TO AN ENROLLEE:~~

26 ~~(a) A MEDICAL CONDITION, WHETHER PHYSICAL OR MENTAL.~~

27 ~~(b) A DISABILITY.~~

28 ~~(c) A CLAIMS EXPERIENCE.~~

29 ~~(d) A RECEIPT OF HEALTH CARE SERVICES.~~

30 ~~(e) MEDICAL HISTORY.~~

31 ~~(f) GENETIC INFORMATION.]~~

32 [8. "SERIAL OFFENDER" MEANS A PERSON WHO WITHIN A PERIOD OF TEN
33 YEARS HAS BEEN CONVICTED OF TWO OR MORE VIOLATIONS OF THIS SECTION.]

34 ~~[10.]~~ [9.] "Sober living home" has the same meaning prescribed in
35 section 36-2061.

36 Sec. 2. Section 20-281, Arizona Revised Statutes, is amended to
37 read:

38 20-281. Definitions

39 In this article, unless the context otherwise requires:

40 1. "Business entity" means any corporation, association,
41 partnership, limited liability company, limited liability partnership or
42 other legal entity except an individual or sole proprietorship.

43 2. "Designated producer" means the individual insurance producer
44 that a business entity designates pursuant to section 20-285, subsection
45 C, paragraph 3 as the individual responsible for the business entity's
46 compliance with the insurance laws of this state.

1 3. "HEALTH BENEFITS PLAN" MEANS A DISABILITY INSURANCE POLICY, A
2 HOSPITAL AND MEDICAL SERVICE CORPORATION POLICY OR CERTIFICATE, A HEALTH
3 CARE SERVICES ORGANIZATION CONTRACT, A GROUP DISABILITY POLICY OR A
4 CERTIFICATE OF INSURANCE OF A GROUP DISABILITY POLICY, INCLUDING MEDICARE
5 ADVANTAGE PLANS, MEDICARE SUPPLEMENT INSURANCE PLANS AND MEDICARE PART D
6 PRESCRIPTION DRUG PLANS.

7 ~~3.~~ 4. "Health or sickness insurance" means disability insurance as
8 defined in section 20-253.

9 ~~4.~~ 5. "Home state" means the District of Columbia and any state or
10 territory of the United States in which:

11 (a) An individual insurance producer maintains a principal place of
12 residence or principal place of business and is licensed to act as a
13 resident insurance producer.

14 (b) A business entity insurance producer maintains its principal
15 place of business and is licensed to act as a resident insurance producer.

16 ~~5.~~ 6. "Insurance producer" means a person required to be licensed
17 under this article to sell, solicit or negotiate insurance.

18 ~~6.~~ 7. "Limited line credit insurance" means any form of insurance
19 that is offered in connection with an extension of credit and that is
20 limited to partially or wholly extinguishing that credit obligation,
21 including credit life, credit disability, credit property, credit
22 unemployment, involuntary unemployment, mortgage life, mortgage guaranty,
23 mortgage disability, guaranteed asset or automobile protection insurance
24 and any other form of insurance that is offered in connection with an
25 extension of credit, that is limited to partially or wholly extinguishing
26 that credit obligation and that the director determines should be
27 designated a form of limited line credit insurance.

28 ~~7.~~ 8. "Limited line insurance" means limited line credit
29 insurance, limited line crop insurance, limited lines travel insurance
30 under section 20-3553 and any other line of insurance that the director
31 deems necessary to recognize for the purposes of complying with section
32 20-287, subsection C, paragraph 2.

33 ~~8.~~ 9. "Major line insurance" means life insurance, accident and
34 health or sickness insurance, property insurance, casualty insurance,
35 personal lines insurance and variable insurance contracts, as described in
36 section 20-286.

37 ~~9.~~ 10. "Member" means, if used in reference to a business entity,
38 a person that holds an ownership interest in the business entity,
39 excluding any interest in publicly traded securities and any interest of
40 less than ten percent of the voting rights.

41 ~~10.~~ 11. "Negotiate" means the act of conferring directly with or
42 offering advice directly to a purchaser or prospective purchaser of a
43 particular contract of insurance concerning any of the substantive
44 benefits, terms or conditions of the contract if the person engaged in
45 that act either sells insurance or obtains insurance from insurers for
46 purchasers.

47 ~~11.~~ 12. "Nonresident" means a person whose home state is not
48 Arizona.

49 ~~12.~~ 13. "Person" means an individual or a business entity.

1 ~~13.~~ 14. "Resident" means a person whose home state is Arizona and
2 who does not hold a resident insurance producer license in another state
3 or territory of the United States or in the District of Columbia.

4 ~~14.~~ 15. "Sell" means to exchange a contract of insurance by any
5 means, for money or its equivalent, on behalf of an insurer.

6 ~~15.~~ 16. "Solicit":

7 (a) Means attempting to sell insurance or asking or urging a person
8 to apply for a particular kind of insurance from a particular company.

9 (b) INCLUDES, IF DONE AS A REGULAR COURSE OF DEALING OR BUSINESS,
10 STEERING, ADVISING, RECOMMENDING OR ENCOURAGING PERSONS IN THIS STATE WITH
11 A KNOWN HEALTH CONDITION TO TERMINATE THEIR EXISTING HEALTH BENEFITS PLAN
12 OR COVERAGE OR TO LET THEIR EXISTING HEALTH BENEFITS PLAN OR COVERAGE
13 LAPSE AND TO PURCHASE A REPLACEMENT OR ALTERNATIVE HEALTH BENEFITS PLAN OR
14 POLICY FROM AN INSURER AUTHORIZED TO TRANSACT INSURANCE IN THIS STATE.

15 Sec. 3. Section 20-449, Arizona Revised Statutes, is amended to
16 read:

17 20-449. Rebates on life or disability insurance; definitions

18 A. Except as otherwise expressly provided by law, ~~[no]~~ [A] person
19 shall ~~[NOT]~~ knowingly ~~[permit]~~ [ALLOW] or offer to make or make any
20 contract of life insurance, life annuity or disability insurance, or
21 agreement as to such contract other than as plainly expressed in the
22 contract issued thereon, or pay or allow, or give or offer to pay, allow
23 or give, directly or indirectly, as an inducement to such insurance or
24 annuity, any rebate of premiums payable on the contract, or any special
25 favor or advantage in the dividends or other benefits thereon, or any
26 valuable consideration or inducement whatever not specified in the
27 contract. FOR THE PURPOSES OF THIS SECTION, A PROHIBITED REBATE INCLUDES
28 PAYMENT, DIRECTLY OR INDIRECTLY, BY A HEALTH CARE PROVIDER, HEALTH CARE
29 INSTITUTION OR DRUG MANUFACTURER OF THE PREMIUMS OR SUBSCRIPTION FEES FOR
30 AN ENROLLEE UNDER ANY HEALTH BENEFITS PLAN ISSUED BY A HEALTH CARE INSURER
31 IN THIS STATE.

32 B. This section does not prohibit an insurer from retaining an
33 independent third party to conduct a customer feedback effort intended to
34 help the insurer improve the quality of its products or services and to
35 offer an insured business or individual a reasonable incentive to
36 participate in the feedback effort. An incentive is presumed reasonable
37 if it does not exceed ~~[two hundred dollars]~~ [\$200]. An insurer may not
38 offer, reference or promote an incentive or feedback effort under this
39 section in connection with an application for or renewal of insurance
40 coverage. For the purposes of this subsection, "feedback effort" means
41 activities that are designed to elicit customer perceptions on a
42 predetermined set of topics that are related to the insurer's products or
43 services, including in-person, telephonic or online surveys, polls, focus
44 groups, interviews, questionnaires and other recognized opinion-gathering
45 mechanisms.

46 C. FOR THE PURPOSES OF THIS SECTION:

47 1. "DRUG MANUFACTURER" MEANS ANY PERSON THAT PRODUCES, PREPARES,
48 COMPOUNDS, PROCESSES, PACKAGES, LABELS, PROPAGATES OR REPACKAGES
49 PRESCRIPTION MEDICATION.

1 2. "ENROLLEE" MEANS AN INDIVIDUAL WHO IS A PATIENT OF OR RECEIVING
2 HEALTH CARE SERVICES FROM, AND IS NOT AN EMPLOYEE OR DEPENDENT OF AN
3 EMPLOYEE OF, A HEALTH CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG
4 MANUFACTURER AND WHO IS ENROLLED IN A HEALTH BENEFITS PLAN PROVIDED BY A
5 HEALTH CARE INSURER.

6 3. "HEALTH BENEFITS PLAN" MEANS A DISABILITY INSURANCE POLICY, A
7 HOSPITAL AND MEDICAL SERVICE CORPORATION POLICY OR CERTIFICATE, A HEALTH
8 CARE SERVICES ORGANIZATION CONTRACT, A GROUP DISABILITY POLICY OR A
9 CERTIFICATE OF INSURANCE OF A GROUP DISABILITY POLICY, INCLUDING MEDICARE
10 ADVANTAGE PLANS, MEDICARE SUPPLEMENT INSURANCE PLANS AND MEDICARE PART D
11 PRESCRIPTION DRUG PLANS.

12 4. "HEALTH CARE INSTITUTION" HAS THE SAME MEANING PRESCRIBED IN
13 SECTION 36-401.

14 5. "HEALTH CARE INSURER" MEANS A DISABILITY INSURER, GROUP
15 DISABILITY INSURER, BLANKET DISABILITY INSURER, HEALTH CARE SERVICES
16 ORGANIZATION, HOSPITAL SERVICE CORPORATION, MEDICAL SERVICE CORPORATION OR
17 HOSPITAL AND MEDICAL SERVICE CORPORATION.

18 6. "HEALTH CARE PROVIDER" MEANS A PERSON WHO IS REGULATED PURSUANT
19 TO TITLE 32, CHAPTER 7, 8, 11, 13, 14, 15, 15.1, 16, 17, 18, 19, 19.1, 25,
20 28, 29, 33, 34, 35, 39 OR 41 OR TITLE 36, CHAPTER 6, ARTICLE 7 OR
21 CHAPTER 17."

22 <<Sec. 4. Section 32-1401, Arizona Revised Statutes, is amended to
23 read:

24 32-1401. Definitions

25 In this chapter, unless the context otherwise requires:

26 1. "Active license" means a valid and existing license to practice
27 medicine.

28 2. "Adequate records" means legible medical records, produced by
29 hand or electronically, containing, at a minimum, sufficient information
30 to identify the patient, support the diagnosis, justify the treatment,
31 accurately document the results, indicate advice and cautionary warnings
32 provided to the patient and provide sufficient information for another
33 practitioner to assume continuity of the patient's care at any point in
34 the course of treatment.

35 3. "Advisory letter" means a nondisciplinary letter to notify a
36 licensee that either:

37 (a) While there is insufficient evidence to support disciplinary
38 action, the board believes that continuation of the activities that led to
39 the investigation may result in further board action against the licensee.

40 (b) The violation is a minor or technical violation that is not of
41 sufficient merit to warrant disciplinary action.

42 (c) While the licensee has demonstrated substantial compliance
43 through rehabilitation or remediation that has mitigated the need for
44 disciplinary action, the board believes that repetition of the activities
45 that led to the investigation may result in further board action against
46 the licensee.

47 4. "Approved hospital internship, residency or clinical fellowship
48 program" means a program at a hospital that at the time the training
49 occurred was legally incorporated and that had a program that was approved

1 for internship, fellowship or residency training by the accreditation
2 council for graduate medical education, the association of American
3 medical colleges, the royal college of physicians and surgeons of Canada
4 or any similar body in the United States or Canada approved by the board
5 whose function is that of approving hospitals for internship, fellowship
6 or residency training.

7 5. "Approved school of medicine" means any school or college
8 offering a course of study that, on successful completion, results in the
9 degree of doctor of medicine and whose course of study has been approved
10 or accredited by an educational or professional association, recognized by
11 the board, including the association of American medical colleges, the
12 association of Canadian medical colleges or the American medical
13 association.

14 6. "Board" means the Arizona medical board.

15 7. "Completed application" means that the applicant has supplied
16 all required fees, information and correspondence requested by the board
17 on forms and in a manner acceptable to the board.

18 8. "Direct supervision" means that a physician, physician assistant
19 licensed pursuant to chapter 25 of this title or nurse practitioner
20 certified pursuant to chapter 15 of this title is within the same room or
21 office suite as the medical assistant in order to be available for
22 consultation regarding those tasks the medical assistant performs pursuant
23 to section 32-1456.

24 9. "Dispense" means the delivery by a doctor of medicine of a
25 prescription drug or device to a patient, except for samples packaged for
26 individual use by licensed manufacturers or repackagers of drugs, and
27 includes the prescribing, administering, packaging, labeling and security
28 necessary to prepare and safeguard the drug or device for delivery.

29 10. "Doctor of medicine" means a natural person holding a license,
30 registration or permit to practice medicine pursuant to this chapter.

31 11. "Full-time faculty member" means a physician who is employed
32 full time as a faculty member while holding the academic position of
33 assistant professor or a higher position at an approved school of
34 medicine.

35 12. "Health care institution" means any facility as defined in
36 section 36-401, any person authorized to transact disability insurance, as
37 defined in title 20, chapter 6, article 4 or 5, any person who is issued a
38 certificate of authority pursuant to title 20, chapter 4, article 9 or any
39 other partnership, association or corporation that provides health care to
40 consumers.

41 13. "Immediate family" means the spouse, natural or adopted
42 children, father, mother, brothers and sisters of the doctor of medicine
43 and the natural or adopted children, father, mother, brothers and sisters
44 of the doctor of medicine's spouse.

45 14. "Letter of reprimand" means a disciplinary letter that is
46 issued by the board and that informs the physician that the physician's
47 conduct violates state or federal law and may require the board to monitor
48 the physician.

1 15. "Limit" means taking a nondisciplinary action that alters the
2 physician's practice or professional activities if the board determines
3 that there is evidence that the physician is or may be mentally or
4 physically unable to safely engage in the practice of medicine.

5 16. "Medical assistant" means an unlicensed person who meets the
6 requirements of section 32-1456, has completed an education program
7 approved by the board, assists in a medical practice under the supervision
8 of a doctor of medicine, physician assistant or nurse practitioner and
9 performs delegated procedures commensurate with the medical assistant's
10 education and training but does not diagnose, interpret, design or modify
11 established treatment programs or perform any functions that would violate
12 any statute applicable to the practice of medicine.

13 17. "Medically incompetent" means a person who the board determines
14 is incompetent based on a variety of factors, including:

15 (a) A lack of sufficient medical knowledge or skills, or both, to a
16 degree likely to endanger the health of patients.

17 (b) When considered with other indications of medical incompetence,
18 failing to obtain a scaled score of at least seventy-five percent on the
19 written special purpose licensing examination.

20 18. "Medical peer review" means:

21 (a) The participation by a doctor of medicine in the review and
22 evaluation of the medical management of a patient and the use of resources
23 for patient care.

24 (b) Activities relating to a health care institution's decision to
25 grant or continue privileges to practice at that institution.

26 19. "Medicine" means allopathic medicine as practiced by the
27 recipient of a degree of doctor of medicine.

28 20. "Office-based surgery" means a medical procedure conducted in a
29 physician's office or other outpatient setting that is not part of a
30 licensed hospital or licensed ambulatory surgical center.

31 21. "Physician" means a doctor of medicine who is licensed pursuant
32 to this chapter.

33 22. "Practice of medicine":

34 (a) Means the diagnosis, the treatment or the correction of or the
35 attempt or the claim to be able to diagnose, treat or correct any and all
36 human diseases, injuries, ailments, infirmities or deformities, physical
37 or mental, real or imaginary, by any means, methods, devices or
38 instrumentalities, except as the same may be among the acts or persons not
39 affected by this chapter.

40 (b) Includes the practice of medicine alone or the practice of
41 surgery alone, or both.

42 23. "Restrict" means taking a disciplinary action that alters the
43 physician's practice or professional activities if the board determines
44 that there is evidence that the physician is or may be medically
45 incompetent or guilty of unprofessional conduct.

46 24. "Special purpose licensing examination" means an examination
47 that is developed by the national board of medical examiners on behalf of
48 the federation of state medical boards for use by state licensing boards
49 to test the basic medical competence of physicians who are applying for

1 licensure and who have been in practice for a considerable period of time
2 in another jurisdiction and to determine the competence of a physician who
3 is under investigation by a state licensing board.

4 25. "Teaching hospital's accredited graduate medical education
5 program" means that the hospital is incorporated and has an internship,
6 fellowship or residency training program that is accredited by the
7 accreditation council for graduate medical education, the American medical
8 association, the association of American medical colleges, the royal
9 college of physicians and surgeons of Canada or a similar body in the
10 United States or Canada that is approved by the board and whose function
11 is that of approving hospitals for internship, fellowship or residency
12 training.

13 26. "Teaching license" means a valid license to practice medicine
14 as a full-time faculty member of an approved school of medicine or a
15 teaching hospital's accredited graduate medical education program.

16 27. "Unprofessional conduct" includes the following, whether
17 occurring in this state or elsewhere:

18 (a) Violating any federal or state laws, rules or regulations
19 applicable to the practice of medicine.

20 (b) Intentionally disclosing a professional secret or intentionally
21 disclosing a privileged communication except as either act may otherwise
22 be required by law.

23 (c) Committing false, fraudulent, deceptive or misleading
24 advertising by a doctor of medicine or the doctor of medicine's staff,
25 employer or representative.

26 (d) Committing a felony, whether or not involving moral turpitude,
27 or a misdemeanor involving moral turpitude. In either case, conviction by
28 any court of competent jurisdiction or a plea of no contest is conclusive
29 evidence of the commission.

30 (e) Failing or refusing to maintain adequate records on a patient.

31 (f) Exhibiting a pattern of using or being under the influence of
32 alcohol or drugs or a similar substance while practicing medicine or to
33 the extent that judgment may be impaired and the practice of medicine
34 detrimentally affected.

35 (g) Using controlled substances except if prescribed by another
36 physician for use during a prescribed course of treatment.

37 (h) Prescribing or dispensing controlled substances to members of
38 the physician's immediate family.

39 (i) Prescribing, dispensing or administering schedule II controlled
40 substances as prescribed by section 36-2513 or the rules adopted pursuant
41 to section 36-2513, including amphetamines and similar schedule II
42 sympathomimetic drugs in the treatment of exogenous obesity for a period
43 in excess of thirty days in any one year, or the nontherapeutic use of
44 injectable amphetamines.

45 (j) Prescribing, dispensing or administering any controlled
46 substance or prescription-only drug for other than accepted therapeutic
47 purposes.

1 (k) Dispensing a schedule II controlled substance that is an
2 opioid, except as provided in sections 32-1491 and 32-3248.03.

3 (l) Signing a blank, undated or predated prescription form.

4 (m) Committing conduct that the board determines is gross
5 malpractice, repeated malpractice or any malpractice resulting in the
6 death of a patient.

7 (n) Representing that a manifestly incurable disease or infirmity
8 can be permanently cured, or that any disease, ailment or infirmity can be
9 cured by a secret method, procedure, treatment, medicine or device, if
10 this is not true.

11 (o) Refusing to divulge to the board on demand the means, method,
12 procedure, modality of treatment or medicine used in the treatment of a
13 disease, injury, ailment or infirmity.

14 (p) Having action taken against a doctor of medicine by another
15 licensing or regulatory jurisdiction due to that doctor of medicine's
16 mental or physical inability to engage safely in the practice of medicine
17 or the doctor of medicine's medical incompetence or for unprofessional
18 conduct as defined by that jurisdiction and that corresponds directly or
19 indirectly to an act of unprofessional conduct prescribed by this
20 paragraph. The action taken may include refusing, denying, revoking or
21 suspending a license by that jurisdiction or a surrendering of a license
22 to that jurisdiction, otherwise limiting, restricting or monitoring a
23 licensee by that jurisdiction or placing a licensee on probation by that
24 jurisdiction.

25 (q) Having sanctions imposed by an agency of the federal
26 government, including restricting, suspending, limiting or removing a
27 person from the practice of medicine or restricting that person's ability
28 to obtain financial remuneration.

29 (r) Committing any conduct or practice that is or might be harmful
30 or dangerous to the health of the patient or the public.

31 (s) Violating a formal order, probation, consent agreement or
32 stipulation issued or entered into by the board or its executive director
33 under this chapter.

34 (t) Violating or attempting to violate, directly or indirectly, or
35 assisting in or abetting the violation of or conspiring to violate any
36 provision of this chapter.

37 (u) Knowingly making any false or fraudulent statement, written or
38 oral, in connection with the practice of medicine or if applying for
39 privileges or renewing an application for privileges at a health care
40 institution.

41 (v) Charging a fee for services not rendered or dividing a
42 professional fee for patient referrals among health care providers or
43 health care institutions or between these providers and institutions or a
44 contractual arrangement that has the same effect. This subdivision does
45 not apply to payments from a medical researcher to a physician in
46 connection with identifying and monitoring patients for a clinical trial
47 regulated by the United States food and drug administration.

48 (w) Obtaining a fee by fraud, deceit or misrepresentation.

1 (x) Charging or collecting a clearly excessive fee. In determining
2 whether a fee is clearly excessive, the board shall consider the fee or
3 range of fees customarily charged in this state for similar services in
4 light of modifying factors such as the time required, the complexity of
5 the service and the skill requisite to perform the service properly. This
6 subdivision does not apply if there is a clear written contract for a
7 fixed fee between the physician and the patient that has been entered into
8 before the provision of the service.

9 (y) Committing conduct that is in violation of section 36-2302.

10 (z) Using experimental forms of diagnosis and treatment without
11 adequate informed patient consent, and without conforming to generally
12 accepted experimental criteria, including protocols, detailed records,
13 periodic analysis of results and periodic review by a medical peer review
14 committee as approved by the United States food and drug administration or
15 its successor agency.

16 (aa) Engaging in sexual conduct with a current patient or with a
17 former patient within six months after the last medical consultation
18 unless the patient was the licensee's spouse at the time of the contact
19 or, immediately preceding the physician-patient relationship, was in a
20 dating or engagement relationship with the licensee. For the purposes of
21 this subdivision, "sexual conduct" includes:

22 (i) Engaging in or soliciting sexual relationships, whether
23 consensual or nonconsensual.

24 (ii) Making sexual advances, requesting sexual favors or engaging
25 in any other verbal conduct or physical contact of a sexual nature.

26 (iii) Intentionally viewing a completely or partially disrobed
27 patient in the course of treatment if the viewing is not related to
28 patient diagnosis or treatment under current practice standards.

29 (bb) Procuring or attempting to procure a license to practice
30 medicine or a license renewal by fraud, by misrepresentation or by
31 knowingly taking advantage of the mistake of another person or an agency.

32 (cc) Representing or claiming to be a medical specialist if this is
33 not true.

34 (dd) Maintaining a professional connection with or lending one's
35 name to enhance or continue the activities of an illegal practitioner of
36 medicine.

37 (ee) Failing to furnish information in a timely manner to the board
38 or the board's investigators or representatives if legally requested by
39 the board.

40 (ff) Failing to allow properly authorized board personnel on demand
41 to examine and have access to documents, reports and records maintained by
42 the physician that relate to the physician's medical practice or medically
43 related activities.

44 (gg) Knowingly failing to disclose to a patient on a form that is
45 prescribed by the board and that is dated and signed by the patient or
46 guardian acknowledging that the patient or guardian has read and
47 understands that the doctor has a direct financial interest in a separate
48 diagnostic or treatment agency or in nonroutine goods or services that the
49 patient is being prescribed if the prescribed treatment, goods or services

1 are available on a competitive basis. This subdivision does not apply to
2 a referral by one doctor of medicine to another doctor of medicine within
3 a group of doctors of medicine practicing together.

4 (hh) Using chelation therapy in the treatment of arteriosclerosis
5 or as any other form of therapy, with the exception of treatment of heavy
6 metal poisoning, without:

7 (i) Adequate informed patient consent.

8 (ii) Conforming to generally accepted experimental criteria,
9 including protocols, detailed records, periodic analysis of results and
10 periodic review by a medical peer review committee.

11 (iii) Approval by the United States food and drug administration or
12 its successor agency.

13 (ii) Prescribing, dispensing or administering anabolic-androgenic
14 steroids to a person for other than therapeutic purposes.

15 (jj) Exhibiting a lack of or inappropriate direction, collaboration
16 or direct supervision of a medical assistant or a licensed, certified or
17 registered health care provider employed by, supervised by or assigned to
18 the physician.

19 (kk) Knowingly making a false or misleading statement to the board
20 or on a form required by the board or in a written correspondence,
21 including attachments, with the board.

22 (ll) Failing to dispense drugs and devices in compliance with
23 article 6 of this chapter.

24 (mm) Committing conduct that the board determines is gross
25 negligence, repeated negligence or negligence resulting in harm to or the
26 death of a patient.

27 (nn) Making a representation by a doctor of medicine or the doctor
28 of medicine's staff, employer or representative that the doctor of
29 medicine is boarded or board certified if this is not true or the standing
30 is not current or without supplying the full name of the specific agency,
31 organization or entity granting this standing.

32 (oo) Refusing to submit to a body fluid examination or any other
33 examination known to detect the presence of alcohol or other drugs as
34 required by the board pursuant to section 32-1452 or pursuant to a board
35 investigation into a doctor of medicine's alleged substance abuse.

36 (pp) Failing to report in writing to the Arizona medical board or
37 the Arizona regulatory board of physician assistants any evidence that a
38 doctor of medicine or a physician assistant is or may be medically
39 incompetent, guilty of unprofessional conduct or mentally or physically
40 unable to safely practice medicine or to perform as a physician assistant.

41 (qq) As a physician who is the chief executive officer, the medical
42 director or the medical chief of staff of a health care institution,
43 failing to report in writing to the board that the hospital privileges of
44 a doctor of medicine have been denied, revoked, suspended, supervised or
45 limited because of actions by the doctor of medicine that appear to show
46 that the doctor of medicine is or may be medically incompetent, is or may
47 be guilty of unprofessional conduct or is or may be unable to engage
48 safely in the practice of medicine.

1 (rr) Claiming to be a current member of the board or its staff or a
2 board medical consultant if this is not true.

3 (ss) Failing to make patient medical records in the physician's
4 possession promptly available to a physician assistant, a nurse
5 practitioner, a person licensed pursuant to this chapter or a podiatrist,
6 chiropractor, naturopathic physician, osteopathic physician or homeopathic
7 physician licensed under chapter 7, 8, 14, 17 or 29 of this title on
8 receipt of proper authorization to do so from the patient, a minor
9 patient's parent, the patient's legal guardian or the patient's authorized
10 representative or failing to comply with title 12, chapter 13,
11 article 7.1.

12 (tt) Prescribing, dispensing or furnishing a prescription
13 medication or a prescription-only device as defined in section 32-1901 to
14 a person unless the licensee first conducts a physical or mental health
15 status examination of that person or has previously established a
16 doctor-patient relationship. The physical or mental health status
17 examination may be conducted through telehealth as defined in section
18 36-3601 with a clinical evaluation that is appropriate for the patient and
19 the condition with which the patient presents, unless the examination is
20 for the purpose of obtaining a written certification from the physician
21 for the purposes of title 36, chapter 28.1. This subdivision does not
22 apply to:

23 (i) A physician who provides temporary patient supervision on
24 behalf of the patient's regular treating licensed health care professional
25 or provides a consultation requested by the patient's regular treating
26 licensed health care professional.

27 (ii) Emergency medical situations as defined in section 41-1831.

28 (iii) Prescriptions written to prepare a patient for a medical
29 examination.

30 (iv) Prescriptions written or prescription medications issued for
31 use by a county or tribal public health department for immunization
32 programs or emergency treatment or in response to an infectious disease
33 investigation, public health emergency, infectious disease outbreak or act
34 of bioterrorism. For the purposes of this item, "bioterrorism" has the
35 same meaning prescribed in section 36-781.

36 (v) Prescriptions written or antimicrobials dispensed to a contact
37 as defined in section 36-661 who is believed to have had significant
38 exposure risk as defined in section 36-661 with another person who has
39 been diagnosed with a communicable disease as defined in section 36-661 by
40 the prescribing or dispensing physician.

41 (vi) Prescriptions written or prescription medications issued for
42 administration of immunizations or vaccines listed in the United States
43 centers for disease control and prevention's recommended immunization
44 schedule to a household member of a patient.

45 (vii) Prescriptions for epinephrine delivery systems that are
46 written or dispensed for a school district or charter school to be stocked
47 for emergency use pursuant to section 15-157 or for an authorized entity
48 to be stocked pursuant to section 36-2226.01.

1 (viii) Prescriptions for glucagon written or dispensed for a school
2 district or charter school to be stocked for emergency use pursuant to
3 section 15-344.01.

4 (ix) Prescriptions written by a licensee through a telehealth
5 program that is covered by the policies and procedures adopted by the
6 administrator of a hospital or outpatient treatment center.

7 (x) Prescriptions for naloxone hydrochloride or any other opioid
8 antagonist approved by the United States food and drug administration that
9 are written or dispensed for use pursuant to section 36-2228 or 36-2266.

10 (uu) Performing office-based surgery using sedation in violation of
11 board rules.

12 (vv) Practicing medicine under a false or assumed name in this
13 state.

14 [(ww) ADVISING A PATIENT, WHETHER DIRECTLY OR INDIRECTLY THROUGH
15 STAFF, TO ENROLL IN OR DISENROLL FROM A SPECIFIC HEALTH INSURANCE POLICY
16 OR PLAN ISSUED BY A SPECIFIC INSURANCE COMPANY UNLESS THE LICENSEE OR
17 STAFF MEMBER IS A LICENSED INSURANCE PRODUCER IN THIS STATE. THIS
18 SUBDIVISION DOES NOT PROHIBIT OR PREVENT A LICENSEE FROM DISCUSSING WITH
19 PATIENTS WHETHER THE LICENSEE IS IN NETWORK OR OUT OF NETWORK WITH ANY
20 SPECIFIC INSURANCE COMPANY OR UNDER ANY SPECIFIC INSURANCE POLICY OR
21 PLAN.]>>

22 <<Sec. 5. Section 32-1601, Arizona Revised Statutes, is amended to
23 read:

24 32-1601. Definitions

25 In this chapter, unless the context otherwise requires:

26 1. "Absolute discharge from the sentence" means completion of any
27 sentence, including imprisonment, probation, parole, community supervision
28 or any form of court supervision.

29 2. "Appropriate health care professional" means a licensed health
30 care professional whose scope of practice, education, experience, training
31 and accreditation are appropriate for the situation or condition of the
32 patient who is the subject of a consultation or referral.

33 3. "Approval" means that a regulated training or educational
34 program to prepare persons for licensure, certification or registration
35 has met standards established by the board.

36 4. "Board" means the Arizona state board of nursing.

37 5. "Certified nurse midwife" means a registered nurse who:

38 (a) Is certified by the board.

39 (b) Has completed a nurse midwife education program [THAT IS]
40 approved or recognized by the board and educational requirements
41 prescribed by the board by rule.

42 (c) Holds a national certification as a certified nurse midwife
43 from a national certifying body [THAT IS] recognized by the board.

44 (d) Has an expanded scope of practice in providing health care
45 services for women from adolescence to beyond menopause, including
46 antepartum, intrapartum, postpartum, reproductive, gynecologic and primary
47 care, for normal newborns during the first twenty-eight days of life and
48 for men for the treatment of sexually transmitted diseases. The expanded
49 scope of practice under this subdivision includes:

- 1 (i) Assessing patients, synthesizing and analyzing data and
2 understanding and applying principles of health care at an advanced level.
- 3 (ii) Managing the physical and psychosocial health care of
4 patients.
- 5 (iii) Analyzing multiple sources of data, identifying alternative
6 possibilities as to the nature of a health care problem and selecting,
7 implementing and evaluating appropriate treatment.
- 8 (iv) Making independent decisions in solving complex patient care
9 problems.
- 10 (v) Diagnosing, performing diagnostic and therapeutic procedures
11 and prescribing, administering and dispensing therapeutic measures,
12 including legend drugs, medical devices and controlled substances, within
13 the scope of the certified nurse midwife practice after meeting
14 requirements established by the board.
- 15 (vi) Recognizing the limits of the ~~[nurse's]~~ [CERTIFIED NURSE
16 MIDWIFE'S] knowledge and experience by consulting with or referring
17 patients to other appropriate health care professionals if a situation or
18 condition occurs that is beyond the knowledge and experience of the
19 [CERTIFIED] nurse [MIDWIFE] or if the referral will protect the health and
20 welfare of the patient.
- 21 (vii) Delegating to a medical assistant pursuant to section
22 32-1456.
- 23 (viii) Performing additional acts that require education and
24 training as prescribed by the board and that are recognized by the nursing
25 profession as proper to be performed by a certified nurse midwife.
- 26 6. "Certified nursing assistant" means a person who is registered
27 on the registry of nursing assistants pursuant to this chapter to provide
28 or assist in delivering nursing or nursing-related services under the
29 supervision and direction of a licensed nursing staff member. Certified
30 nursing assistant does not include a person who:
- 31 (a) Is a licensed health care professional.
- 32 (b) Volunteers to provide nursing assistant services without
33 monetary compensation.
- 34 (c) Is a licensed nursing assistant.
- 35 7. "Certified registered nurse" means a registered nurse who has
36 been certified by a national nursing credentialing agency [THAT IS]
37 recognized by the board.
- 38 8. "Certified registered nurse anesthetist" means a registered
39 nurse who meets the requirements of section 32-1634.03 and who practices
40 pursuant to the requirements of section 32-1634.04.
- 41 9. "Clinical nurse specialist" means a registered nurse who:
- 42 (a) Is certified by the board as a clinical nurse specialist.
- 43 (b) Holds a graduate degree with a major in nursing and completes
44 educational requirements as prescribed by the board by rule.
- 45 (c) Is nationally certified as a clinical nurse specialist or, if
46 certification is not available, provides proof of competence to the board.

1 (d) Has an expanded scope of practice based on advanced education
2 in a clinical nursing specialty that includes:
3 (i) Assessing clients, synthesizing and analyzing data and
4 understanding and applying nursing principles at an advanced level.
5 (ii) Managing directly and indirectly a client's physical and
6 psychosocial health status.
7 (iii) Analyzing multiple sources of data, identifying alternative
8 possibilities as to the nature of a health care problem and selecting
9 appropriate nursing interventions.
10 (iv) Developing, planning and guiding programs of care for
11 populations of patients.
12 (v) Making independent nursing decisions to solve complex client
13 care problems.
14 (vi) Using research skills and acquiring and applying critical new
15 knowledge and technologies to nursing practice.
16 (vii) Prescribing and dispensing durable medical equipment.
17 (viii) Consulting with or referring a client to other health care
18 providers based on assessment of the client's health status and needs.
19 (ix) Facilitating collaboration with other disciplines to attain
20 the desired client outcome across the continuum of care.
21 (x) Performing additional acts that require education and training
22 as prescribed by the board and that are recognized by the nursing
23 profession as proper to be performed by a clinical nurse specialist.
24 (xi) Prescribing, ordering and dispensing pharmacological agents
25 [THAT ARE] subject to the requirements and limits specified in section
26 32-1651.
27 10. "Conditional license" or "conditional approval" means a license
28 or approval that specifies the conditions under which the regulated party
29 is allowed to practice or to operate and that is prescribed by the board
30 pursuant to section 32-1644 or 32-1663.
31 11. "Delegation" means transferring to a competent individual the
32 authority to perform a selected nursing task in a designated situation in
33 which the nurse making the delegation retains accountability for the
34 delegation.
35 12. "Disciplinary action" means a regulatory sanction of a license,
36 certificate or approval pursuant to this chapter in any combination of the
37 following:
38 (a) A civil penalty for each violation of this chapter, not to
39 exceed \$1,000 for each violation.
40 (b) Restitution made to an aggrieved party.
41 (c) A decree of censure.
42 (d) A conditional license or a conditional approval that [fixed]
43 [FIXES] a period and terms of probation.
44 (e) Limited licensure.
45 (f) Suspension of a license, a certificate or an approval.
46 (g) Voluntary surrender of a license, a certificate or an approval.
47 (h) Revocation of a license, a certificate or an approval.
48 13. "Health care institution" has the same meaning prescribed in
49 section 36-401.

1 14. "Licensed health aide" means a person who:

2 (a) Is licensed pursuant to this chapter to provide or to assist in
3 providing nursing-related services authorized pursuant to section 36-2939.

4 (b) Is the parent, guardian or family member by affinity or
5 consanguinity of the Arizona long-term care system member receiving
6 services who may provide licensed health aide services only to that member
7 and only consistent with that member's plan of care.

8 (c) Has a scope of practice that is the same as a licensed nursing
9 assistant and may also provide medication administration, tracheostomy
10 care, enteral care and routine ventilator care and therapy and any other
11 tasks approved by the board in rule.

12 (d) Has supervision requirements that are the same as a certified
13 nursing assistant.

14 15. "Licensed nursing assistant" means a person who is licensed
15 pursuant to this chapter to provide or assist in delivering nursing or
16 nursing-related services under the supervision and direction of a licensed
17 nursing staff member. Licensed nursing assistant does not include a
18 person who:

19 (a) Is a licensed health care professional.

20 (b) Volunteers to provide nursing assistant services without
21 monetary compensation.

22 (c) Is a certified nursing assistant.

23 16. "Licensee" means a person who is licensed pursuant to this
24 chapter or in a party state as defined in section 32-1668.

25 17. "Limited license" means a license that restricts the scope or
26 setting of a licensee's practice.

27 18. "Medication order" means a written or verbal communication
28 given by a certified registered nurse anesthetist to a health care
29 professional to administer a drug or medication, including controlled
30 substances.

31 19. "Practical nurse" means a person who holds a practical nurse
32 license issued pursuant to this chapter or pursuant to a multistate
33 compact privilege and who practices practical nursing ~~[as defined in this~~
34 ~~section]~~.

35 20. "Practical nursing" includes the following activities that are
36 performed under the supervision of a physician or a registered nurse:

37 (a) Contributing to the assessment of the health status of
38 individuals and groups.

39 (b) Participating in the development and modification of the
40 strategy of care.

41 (c) Implementing aspects of the strategy of care within the nurse's
42 scope of practice.

43 (d) Maintaining safe and effective nursing care that is rendered
44 directly or indirectly.

45 (e) Participating in the evaluation of responses to interventions.

46 (f) Delegating nursing activities within the scope of practice of a
47 practical nurse.

1 (g) Performing additional acts that require education and training
2 as prescribed by the board and that are recognized by the nursing
3 profession as proper to be performed by a practical nurse.

4 21. "Presence" means within the same health care institution or
5 office as specified in section 32-1634.04, subsection A[;] and available
6 as necessary.

7 22. "Registered nurse" or "professional nurse" means a person who
8 practices registered nursing and who holds a registered nurse license
9 issued pursuant to this chapter or pursuant to a multistate compact
10 privilege.

11 23. "Registered nurse practitioner" means a registered nurse who:

12 (a) Is certified by the board.

13 (b) Has completed a nurse practitioner education program [THAT IS]
14 approved or recognized by the board and educational requirements
15 prescribed by the board by rule.

16 (c) If applying for certification after July 1, 2004, holds
17 national certification as a nurse practitioner from a national certifying
18 body [THAT IS] recognized by the board.

19 (d) Has an expanded scope of practice within a specialty area that
20 includes:

21 (i) Assessing clients, synthesizing and analyzing data and
22 understanding and applying principles of health care at an advanced level.

23 (ii) Managing the physical and psychosocial health status of
24 patients.

25 (iii) Analyzing multiple sources of data, identifying alternative
26 possibilities as to the nature of a health care problem and selecting,
27 implementing and evaluating appropriate treatment.

28 (iv) Making independent decisions in solving complex patient care
29 problems.

30 (v) Diagnosing, performing diagnostic and therapeutic procedures,
31 and prescribing, administering and dispensing therapeutic measures,
32 including legend drugs, medical devices and controlled substances within
33 the scope of registered nurse practitioner practice on meeting the
34 requirements established by the board.

35 (vi) Recognizing the limits of the [nurse's] [REGISTERED NURSE
36 PRACTITIONER'S] knowledge and experience by consulting with or referring
37 patients to other appropriate health care professionals if a situation or
38 condition occurs that is beyond the knowledge and experience of the
39 [REGISTERED] nurse [PRACTITIONER] or if the referral will protect the
40 health and welfare of the patient.

41 (vii) Delegating to a medical assistant pursuant to section
42 32-1456.

43 (viii) Performing additional acts that require education and
44 training as prescribed by the board and that are recognized by the nursing
45 profession as proper to be performed by a [REGISTERED] nurse practitioner.

46 24. "Registered nursing" includes the following:

47 (a) Diagnosing and treating human responses to actual or potential
48 health problems.

- 1 (b) Assisting individuals and groups to maintain or attain optimal
2 health by implementing a strategy of care to accomplish defined goals and
3 evaluating responses to care and treatment.
- 4 (c) Assessing the health status of individuals and groups.
- 5 (d) Establishing a nursing diagnosis.
- 6 (e) Establishing goals to meet identified health care needs.
- 7 (f) Prescribing nursing interventions to implement a strategy of
8 care.
- 9 (g) Delegating nursing interventions to others who are qualified to
10 do so.
- 11 (h) Providing for the maintenance of safe and effective nursing
12 care that is rendered directly or indirectly.
- 13 (i) Evaluating responses to interventions.
- 14 (j) Teaching nursing knowledge and skills.
- 15 (k) Managing and supervising the practice of nursing.
- 16 (l) Consulting and coordinating with other health care
17 professionals in the management of health care.
- 18 (m) Performing additional acts that require education and training
19 as prescribed by the board and that are recognized by the nursing
20 profession as proper to be performed by a registered nurse.
- 21 25. "Registry of nursing assistants" means the nursing assistants
22 registry maintained by the board pursuant to the omnibus budget
23 reconciliation act of 1987 (P.L. 100-203; 101 Stat. 1330), as amended by
24 the medicare catastrophic coverage act of 1988 (P.L. 100-360; 102 Stat.
25 683).
- 26 26. "Regulated party" means any person or entity that is licensed,
27 certified, registered, recognized or approved pursuant to this chapter.
- 28 27. "Unprofessional conduct" includes the following, whether
29 occurring in this state or elsewhere:
- 30 (a) Committing fraud or deceit in obtaining, attempting to obtain
31 or renewing a license or a certificate issued pursuant to this chapter.
- 32 (b) Committing a felony, whether or not involving moral turpitude,
33 or a misdemeanor involving moral turpitude. In either case, conviction by
34 a court of competent jurisdiction or a plea of no contest is conclusive
35 evidence of the commission.
- 36 (c) Aiding or abetting in a criminal abortion or attempting,
37 agreeing or offering to procure or assist in a criminal abortion.
- 38 (d) ENGAGING IN any conduct or practice that is or might be
39 harmful or dangerous to the health of a patient or the public.
- 40 (e) Being mentally incompetent or physically unsafe to a degree
41 that is or might be harmful or dangerous to the health of a patient or the
42 public.
- 43 (f) Having a license, certificate, permit or registration to
44 practice a health care profession denied, suspended, conditioned, limited
45 or revoked in another jurisdiction and not reinstated by that
46 jurisdiction.
- 47 (g) Wilfully or repeatedly violating a provision of this chapter or
48 a rule adopted pursuant to this chapter.

1 (h) Committing an act that deceives, defrauds or harms the public.
2 (i) Failing to comply with a stipulated agreement, consent
3 agreement or board order.
4 (j) Violating this chapter or a rule that is adopted by the board
5 pursuant to this chapter.
6 (k) Failing to report to the board any evidence that a registered
7 ~~[or]~~ [NURSE.] practical nurse or ~~[a]~~ nursing assistant is or may be:
8 (i) Incompetent to practice.
9 (ii) Guilty of unprofessional conduct.
10 (iii) Mentally or physically unable to safely practice nursing or
11 to perform nursing-related duties. A nurse who is providing therapeutic
12 counseling for a nurse who is in a drug rehabilitation program is required
13 to report that nurse only if the nurse providing therapeutic counseling
14 has personal knowledge that patient safety is being jeopardized.
15 (l) Failing to self-report a conviction for a felony or
16 undesignated offense within ten days after the conviction.
17 (m) Cheating or assisting another to cheat on a licensure or
18 certification examination.
19 [(n) ADVISING A PATIENT, WHETHER DIRECTLY OR INDIRECTLY THROUGH
20 STAFF, TO ENROLL IN OR DISENROLL FROM A SPECIFIC HEALTH INSURANCE POLICY
21 OR PLAN ISSUED BY A SPECIFIC INSURANCE COMPANY UNLESS THE LICENSEE OR
22 STAFF MEMBER IS A LICENSED INSURANCE PRODUCER IN THIS STATE. THIS
23 SUBDIVISION DOES NOT PROHIBIT OR PREVENT A LICENSEE FROM DISCUSSING WITH
24 PATIENTS WHETHER THE LICENSEE IS IN NETWORK OR OUT OF NETWORK WITH ANY
25 SPECIFIC INSURANCE COMPANY OR UNDER ANY SPECIFIC INSURANCE POLICY OR
26 PLAN.]>>
27 <<Sec. 6. Section 32-1854, Arizona Revised Statutes, is amended to
28 read:
29 32-1854. Definition of unprofessional conduct
30 For the purposes of this chapter, "unprofessional conduct" includes
31 the following acts, whether occurring in this state or elsewhere:
32 1. Knowingly betraying a professional secret or wilfully violating
33 a privileged communication except as either of these may otherwise be
34 required by law. This paragraph does not prevent members of the board
35 from exchanging information with the licensing and disciplinary boards of
36 other states, territories or districts of the United States or with
37 foreign countries or with osteopathic medical organizations located in
38 this state or in any state, district or territory of this country or in
39 any foreign country.
40 2. Committing a felony or a misdemeanor involving moral turpitude.
41 In either case conviction by any court of competent jurisdiction is
42 conclusive evidence of the commission of the offense.
43 3. Practicing medicine while under the influence of alcohol, a
44 dangerous drug as defined in section 13-3401, narcotic or hypnotic drugs
45 or any substance that impairs or may impair the licensee's ability to
46 safely and skillfully practice medicine.

1 4. Being diagnosed by a physician licensed under this chapter or
2 chapter 13 of this title or a psychologist licensed under chapter 19.1 of
3 this title as excessively or illegally using alcohol or a controlled
4 substance.

5 5. Prescribing, dispensing or administering controlled substances
6 or prescription-only drugs for other than accepted therapeutic purposes.

7 6. Engaging in the practice of medicine in a manner that harms or
8 may harm a patient or that the board determines falls below the community
9 standard.

10 7. Impersonating another physician.

11 8. Acting or assuming to act as a member of the board if this is
12 not true.

13 9. Procuring, renewing or attempting to procure or renew a license
14 to practice osteopathic medicine by fraud or misrepresentation.

15 10. Having professional connection with or lending one's name to an
16 illegal practitioner of osteopathic medicine or any of the other healing
17 arts.

18 11. Representing that a manifestly incurable disease, injury,
19 ailment or infirmity can be permanently cured or that a curable disease,
20 injury, ailment or infirmity can be cured within a stated time if this is
21 not true.

22 12. Failing to reasonably disclose and inform the patient or the
23 patient's representative of the method, device or instrumentality the
24 licensee uses to treat the patient's disease, injury, ailment or
25 infirmity.

26 13. Refusing to divulge to the board on demand the means, method,
27 device or instrumentality used to treat a disease, injury, ailment or
28 infirmity.

29 14. Charging a fee for services not rendered or dividing a
30 professional fee for patient referrals. This paragraph does not apply to
31 payments from a medical researcher to a physician in connection with
32 identifying and monitoring patients for clinical trial regulated by the
33 United States food and drug administration.

34 15. Knowingly making any false or fraudulent statement, written or
35 oral, in connection with the practice of medicine or when applying for or
36 renewing privileges at a health care institution or a health care program.

37 16. Advertising in a false, deceptive or misleading manner.

38 17. Representing or claiming to be an osteopathic medical
39 specialist if the physician has not satisfied the applicable requirements
40 of this chapter or board rules.

41 18. Having a license denied or disciplinary action taken against a
42 license by any other state, territory, district or country, unless it can
43 be shown that this occurred for reasons that did not relate to the
44 person's ability to safely and skillfully practice osteopathic medicine or
45 to any act of unprofessional conduct as provided in this section.

46 19. Committing any conduct or practice contrary to recognized
47 standards of ethics of the osteopathic medical profession.

1 20. Violating or attempting to violate, directly or indirectly, or
2 assisting in or abetting the violation of or conspiring to violate any of
3 the provisions of this chapter.

4 21. Failing or refusing to establish and maintain adequate records
5 on a patient as follows:

6 (a) If the patient is an adult, for at least six years after the
7 last date the licensee provided the patient with medical or health care
8 services.

9 (b) If the patient is a child, either for at least three years
10 after the child's eighteenth birthday or for at least six years after the
11 last date the licensee provided that patient with medical or health care
12 services, whichever date occurs later.

13 22. Using controlled substances or prescription-only drugs unless
14 they are provided by a medical practitioner, as defined in section
15 32-1901, as part of a lawful course of treatment.

16 23. Prescribing controlled substances to members of one's immediate
17 family unless there is no other physician available within fifty miles to
18 treat a member of the family and an emergency exists.

19 24. Committing nontherapeutic use of injectable amphetamines.

20 25. Violating a formal order, probation or a stipulation issued by
21 the board under this chapter.

22 26. Charging or collecting an inappropriate fee. This paragraph
23 does not apply to a fee that is fixed in a written contract between the
24 physician and the patient and entered into before treatment begins.

25 27. Using experimental forms of therapy without adequate informed
26 patient consent or without conforming to generally accepted criteria and
27 complying with federal and state statutes and regulations governing
28 experimental therapies.

29 28. Failing to make patient medical records in the physician's
30 possession promptly available to a physician assistant, a nurse
31 practitioner, a person licensed pursuant to this chapter or a podiatrist,
32 chiropractor, naturopathic physician, physician or homeopathic physician
33 licensed under chapter 7, 8, 13, 14 or 29 of this title on receipt of
34 proper authorization to do so from the patient, a minor patient's parent,
35 the patient's legal guardian or the patient's authorized representative or
36 failing to comply with title 12, chapter 13, article 7.1.

37 29. Failing to allow properly authorized board personnel to have,
38 on presentation of a subpoena, access to any documents, reports or records
39 that are maintained by the physician and that relate to the physician's
40 medical practice or medically related activities pursuant to section
41 32-1855.01.

42 30. Signing a blank, undated or predated prescription form.

43 31. Obtaining a fee by fraud, deceit or misrepresentation.

44 32. Failing to report to the board an osteopathic physician and
45 surgeon who is or may be guilty of unprofessional conduct or is or may be
46 mentally or physically unable safely to engage in the practice of
47 medicine.

1 33. Referring a patient to a diagnostic or treatment facility or
2 prescribing goods and services without disclosing that the physician has a
3 direct pecuniary interest in the facility, goods or services to which the
4 patient has been referred or prescribed. This paragraph does not apply to
5 a referral by one physician to another physician within a group of
6 physicians practicing together.

7 34. Exhibiting a lack of or inappropriate direction, collaboration
8 or supervision of a licensed, certified or registered health care provider
9 or office personnel employed by or assigned to the physician in the
10 medical care of patients.

11 35. Violating a federal law, a state law or a rule applicable to
12 the practice of medicine.

13 36. Prescribing or dispensing controlled substances or
14 prescription-only medications without establishing and maintaining
15 adequate patient records.

16 37. Dispensing a schedule II controlled substance that is an
17 opioid, except as provided in sections 32-1871 and 32-3248.03.

18 38. Failing to dispense drugs and devices in compliance with
19 article 4 of this chapter.

20 39. Committing any conduct or practice that endangers a patient's
21 or the public's health or may reasonably be expected to do so.

22 40. Committing any conduct or practice that impairs the licensee's
23 ability to safely and skillfully practice medicine or that may reasonably
24 be expected to do so.

25 41. With the exception of heavy metal poisoning, using chelation
26 therapy in the treatment of arteriosclerosis or as any other form of
27 therapy without adequate informed patient consent and without conforming
28 to generally accepted experimental criteria, including protocols, detailed
29 records, periodic analysis of results and periodic review by a medical
30 peer review committee.

31 42. Prescribing, dispensing or administering anabolic-androgenic
32 steroids to a person for other than therapeutic purposes.

33 43. Engaging in sexual conduct with a current patient or with a
34 former patient within six months after the last medical consultation
35 unless the patient was the licensee's spouse at the time of the contact
36 or, immediately preceding the physician-patient relationship, was in a
37 dating or engagement relationship with the licensee. For the purposes of
38 this paragraph, "sexual conduct" includes:

39 (a) Engaging in or soliciting sexual relationships, whether
40 consensual or nonconsensual.

41 (b) Making sexual advances, requesting sexual favors or engaging in
42 any other verbal conduct or physical conduct of a sexual nature.

43 44. Committing conduct that is in violation of section 36-2302.

44 45. Committing conduct that the board determines constitutes gross
45 negligence, repeated negligence or negligence that results in harm or
46 death of a patient.

47 46. Committing conduct in the practice of medicine that evidences
48 unfitness to practice medicine.

1 47. Engaging in disruptive or abusive behavior in a professional
2 setting.

3 48. Failing to disclose to a patient that the licensee has a direct
4 financial interest in a prescribed treatment, good or service if the
5 treatment, good or service is available on a competitive basis. This
6 paragraph does not apply to a referral by one licensee to another licensee
7 within a group of licensees who practice together. A licensee meets the
8 disclosure requirements of this paragraph if both of the following are
9 true:

10 (a) The licensee makes the disclosure on a form prescribed by the
11 board.

12 (b) The patient or the patient's guardian or parent acknowledges by
13 signing the form that the licensee has disclosed the licensee's direct
14 financial interest.

15 49. Prescribing, dispensing or furnishing a prescription medication
16 or a prescription-only device to a person if the licensee has not
17 conducted a physical or mental health status examination of that person or
18 has not previously established a physician-patient relationship. The
19 physical or mental health status examination may be conducted through
20 telehealth as defined in section 36-3601 with a clinical evaluation that
21 is appropriate for the patient and the condition with which the patient
22 presents, unless the examination is for the purpose of obtaining a written
23 certification from the physician for the purposes of title 36,
24 chapter 28.1. This paragraph does not apply to:

25 (a) Emergencies.

26 (b) A licensee who provides patient care on behalf of the patient's
27 regular treating licensed health care professional or provides a
28 consultation requested by the patient's regular treating licensed health
29 care professional.

30 (c) Prescriptions written or antimicrobials dispensed to a contact
31 as defined in section 36-661 who is believed to have had significant
32 exposure risk as defined in section 36-661 with another person who has
33 been diagnosed with a communicable disease as defined in section 36-661 by
34 the prescribing or dispensing physician.

35 (d) Prescriptions for epinephrine delivery systems that are written
36 or dispensed for a school district or charter school to be stocked for
37 emergency use pursuant to section 15-157 or for an authorized entity to be
38 stocked pursuant to section 36-2226.01.

39 (e) Prescriptions for glucagon written or dispensed for a school
40 district or charter school to be stocked for emergency use pursuant to
41 section 15-344.01.

42 (f) Prescriptions written by a licensee through a telehealth
43 program that is covered by the policies and procedures adopted by the
44 administrator of a hospital or outpatient treatment center.

45 (g) Prescriptions for naloxone hydrochloride or any other opioid
46 antagonist approved by the United States food and drug administration that
47 are written or dispensed for use pursuant to section 36-2228 or 36-2266.

1 50. If a licensee provides medical care by computer, failing to
2 disclose the licensee's license number and the board's address and
3 telephone number.

4 [51. ADVISING A PATIENT, WHETHER DIRECTLY OR INDIRECTLY THROUGH
5 STAFF, TO ENROLL IN OR DISENROLL FROM A SPECIFIC HEALTH INSURANCE POLICY
6 OR PLAN ISSUED BY A SPECIFIC INSURANCE COMPANY UNLESS THE LICENSEE OR
7 STAFF MEMBER IS A LICENSED INSURANCE PRODUCER IN THIS STATE. THIS
8 PARAGRAPH DOES NOT PROHIBIT OR PREVENT A LICENSEE FROM DISCUSSING WITH
9 PATIENTS WHETHER THE LICENSEE IS IN NETWORK OR OUT OF NETWORK WITH ANY
10 SPECIFIC INSURANCE COMPANY OR UNDER ANY SPECIFIC INSURANCE POLICY OR
11 PLAN.]>>

12 <<Sec. 7. Section 36-407, Arizona Revised Statutes, is amended to
13 read:

14 36-407. Prohibited acts; required acts

15 A. A person shall not establish, conduct or maintain in this state
16 a health care institution or any class or subclass of health care
17 institution unless that person holds a current and valid license issued by
18 the department specifying the class or subclass of health care institution
19 the person is establishing, conducting or maintaining. The license is
20 valid only for the establishment, operation and maintenance of the class
21 or subclass of health care institution, the type of services and, except
22 for emergency admissions as prescribed by the director by rule, the
23 licensed capacity specified by the license.

24 B. The licensee shall not imply by advertising, directory listing
25 or otherwise that the licensee is authorized to perform services more
26 specialized or of a higher degree of care than is authorized by this
27 chapter and the underlying rules for the particular class or subclass of
28 health care institution within which the licensee is licensed.

29 C. The licensee may not transfer or assign the license. A license
30 is valid only for the premises occupied by the institution at the time of
31 its issuance.

32 D. The licensee shall not personally or through an agent offer or
33 imply an offer of rebate or fee splitting to any person regulated by title
34 32 or chapter 17 of this title.

35 [E. THE LICENSEE SHALL NOT ADVISE A PATIENT, WHETHER DIRECTLY OR
36 INDIRECTLY THROUGH STAFF, TO ENROLL IN OR DISENROLL FROM A SPECIFIC HEALTH
37 INSURANCE POLICY OR PLAN ISSUED BY A SPECIFIC INSURANCE COMPANY UNLESS THE
38 LICENSEE OR STAFF MEMBER IS A LICENSED INSURANCE PRODUCER IN THIS STATE.
39 THIS SUBSECTION DOES NOT:

40 1. PROHIBIT OR PREVENT A LICENSEE FROM DISCUSSING WITH PATIENTS
41 WHETHER THE LICENSEE IS IN NETWORK OR OUT OF NETWORK WITH ANY SPECIFIC
42 INSURANCE COMPANY OR UNDER ANY SPECIFIC INSURANCE POLICY OR PLAN.

43 2. PROHIBIT OR PREVENT HEALTH INSURANCE NAVIGATORS OR CERTIFIED
44 APPLICATION COUNSELORS ACTING WITHIN THE SCOPE OF THEIR LICENSE OR
45 REGISTRATION FROM ASSISTING PERSONS WITH ENROLLMENT IN A HEALTH INSURANCE
46 POLICY OR PLAN.]

Senate Amendments to S.B. 1494

1 ~~[F.]~~ [E.] The licensee shall submit an itemized statement of
2 charges to each patient.

3 ~~[F.]~~ [G.] A health care institution shall refer a patient who is
4 discharged after receiving emergency services for a drug-related overdose
5 to a behavioral health services provider.>>

6 Enroll and engross to conform

7 Amend title to conform

CARINE WERNER

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